

Medicare won't pay for your mother's nursing home. Her house will.

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Going broke in America is rarely loud. It happens in a hospital discharge office, when a social worker explains that [Medicare will cover your mother's rehab for a few weeks and then stop](#). Medicare pays for up to 100 days of skilled nursing after a hospital stay. It pays nothing for the daily help with bathing, eating and dressing that most nursing home residents actually need.

More than half of Americans turning 65 in recent years [will need long-term care](#), and one in five for five years or more. A private nursing home room costs a median of [\\$129,575 a year](#). The median household headed by someone 65 or older earns [\\$56,680](#). The arithmetic ends only one way.

So a middle-class family pays until the money is gone. Among residents who enter paying privately, [one in six spends down to Medicaid during their stay](#), in about six months. Then they qualify as poor: in most states, Medicaid won't pay until you hold [no more than \\$2,000 in countable assets](#). Then, after death, the state comes for the house. Federal law [requires it to recover Medicaid's costs from the estate](#), and for most working families that means the house.

The rich skip all of that. With an elder-law attorney and five years' lead time, you can move your assets into an irrevocable trust, [wait out Medicaid's lookback period](#), and qualify with your wealth intact. The fee runs [around \\$10,000](#), less than one month in the facility. It's the best deal in the building. The program built for the poor is open to anyone with a lawyer, and closed to the middle class until they hit \$2,000.

Where does the money go? Medicaid is the primary payer for [63% of nursing home residents](#), and [73% of nursing homes are for-profit](#). A KFF Health News analysis found [nearly three-quarters of homes paying rent and management fees to companies their own owners control](#), and a 2024 study found homes [hide at least 63% of their profits](#) that way.

Real estate investment trusts now hold stakes in [one in six nursing homes](#) and paid out more than \$7 billion in dividends in 2024. The largest, CareTrust, reported [\\$320 million in net income on \\$476 million in revenue](#) last year, a 67% margin. Pearlene Darby, a retired teacher, died in 2020 at 81 of infections and bedsores at a CareTrust-owned home in Sacramento, according to her death certificate. That year, court records show, the home paid

CareTrust more than \$1 million in rent while running a deficit. The home denied liability and settled. CareTrust's homes average a half hour less nursing care per resident per day than the national average. When private equity buys a nursing home, a study of 7 million Medicare patients found, [short-term mortality rises about 10% and billing rises 19%](#), most of it to taxpayers.

To be clear: the aide who turns your mother every two hours earns a median of [\\$20.13 an hour](#), and her job turns over at a median rate of [94% a year](#). She is not the problem. The people above her are. A landlord collecting rent from a home that's losing money, with Medicaid filling the gap, is not running a business. He's running a toll booth at the end of someone's life, and the toll is paid twice: by the family, then by the taxpayer.

Washington tried once. In 2024 it set a minimum staffing standard for nursing homes. The industry's lobby [spent nearly \\$17 million fighting it](#). In December, [it was repealed](#).

None of this is inevitable. Germany and Japan run [mandatory public long-term care insurance](#) that everyone pays into and everyone can use. Congress passed an American version in 2010 and [repealed it in 2013](#) before it enrolled anyone. "Go broke first" is a choice.

It's a choice young people will pay for. The median first-time homebuyer is now [40 years old](#). The house that might have been a down payment is becoming a landlord's rent check. And the generation paying today's Medicaid bills will face the same \$2,000 rule with less saved.

Congress can act: restore the staffing floor, require any facility taking Medicaid to disclose every related-party payment in plain English, and put public long-term care insurance back on the table. A bill introduced in March would already [bar Medicare payments to private-equity-owned homes](#).

I run a nonprofit that has taught more than 100,000 young people about money. I can teach them to save. I can't teach them to out-save a system built to take the house.

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